

Contestant Number: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (110)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Account Identification (10 @ 3 points each) _____ (30 points)

Short Answer (22 @ 2 points each) _____ (44 points)

Problem 1. Depreciation _____ (42 points)

Problem 2. Stock Entries _____ (48 points)

TOTAL POINTS _____ ***(214 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

You will have 90 minutes to complete your work. The test is divided into two parts, and you **MUST** complete both parts.

PART ONE Instructions: Objective Questions

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Short Answer Problems

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Which method of accounting for uncollectible accounts most closely follows the GAAP concept of matching expenses with revenues?
 - a. Allowance method
 - b. Amortization method
 - c. Historical Cost method
 - d. Direct Write-off method
2. A company no longer depreciates an asset when book value equals _____.
 - a. market value.
 - b. original cost.
 - c. salvage value.
 - d. replacement cost.
3. When calculating shares of stock outstanding, how is treasury stock handled?
 - a. Subtracted from the number of shares issued
 - b. Added to the number of shares issued
 - c. Divided into the total earnings
 - d. Ignored completely
4. In what section of the Statement of Cash Flows would you include prepaying for insurance?
 - a. Operating
 - b. Investing
 - c. Financing
 - d. Stockholders' Equity
5. What is often the reason a corporation performs a stock split?
 - a. Increase to the EPS
 - b. Decrease to the market price of its stock
 - c. Decrease to the par value of its stock
 - d. Increase in the number of shares of stock outstanding
6. The bond of Tri-star Inc. has been rated AA. The bond of Daytime Corp has received a junk bond rating. What is most likely true when comparing the interest rate of the two companies' bonds.
 - a. The interest rate of both will be near the prime rate.
 - b. The interest rate of both will be the same if each company is part of the S&P 500.
 - c. The interest rate of the Tri-star bond will be higher than Daytime's bond.
 - d. The interest rate of the Daytime bond will be higher than Tri-star's bond.

7. Which plant asset generally increases in value?
 - a. Patent
 - b. Machine
 - c. Mine
 - d. Land

8. What type of account is Deferred Rental Revenue?
 - a. Asset
 - b. Liability
 - c. Revenue
 - d. Expense

9. Gross profit margin is an example of a _____.
 - a. fixed percentage.
 - b. liquidity ratio.
 - c. horizontal ratio analysis.
 - d. vertical ratio analysis.

10. Which shipping terms has the title to the goods passing to the buyer upon delivery?
 - a. FOB Shipping Point
 - b. FOB Destination
 - c. FOB Consignment
 - d. FOB Partial Delivery

11. A corporation issues bonds at 6%, while the market rate is 6.5%. These bonds will sell at _____.
 - a. face value.
 - b. maturity value.
 - c. a discount.
 - d. a premium.

12. The stockholder who receives the dividend is the stockholder as of the date of _____.
 - a. issuance.
 - b. declaration.
 - c. record.
 - d. payment.

13. What is land and anything attached to the land known as?
 - a. Real property
 - b. Personal property
 - c. Depreciable property
 - d. Capital improvements

14. Which financial statement shows financial progress over a period of time?
- Balance Sheet
 - Distribution of Net Income Statement
 - Income Statement
 - Schedule of Accounts Payable
15. Under the allowance method, what effect does writing off an account have on the Balance Sheet?
- Increases total assets
 - Decreases total assets
 - Decreases the book value of Accounts Receivable
 - It has no effect on the Balance Sheet
16. Drawing on a line of credit increases what two types of accounts?
- Expenses and Liabilities
 - Revenues and Assets
 - Revenues and Expenses
 - Assets and Liabilities
17. The amount to be paid on a bond at maturity is known as what?
- Interest Expense
 - Face Value
 - Coupon Payment
 - Discount on Bonds Payable
18. What type of bond has no interest payments?
- Zero-coupon Bond
 - Convertible Bond
 - Corporate Bond
 - Variable Rate Bond
19. Which of the following accounts does not have its cost depreciated or depleted over its useful life?
- Truck
 - Mine
 - Land
 - Oil Field

20. If equipment is donated in exchange for common stock, in what section does that transaction appear in the Statement of Cash Flows?
- Operations
 - Financing
 - Investing
 - Non-cash
21. What depreciation rate is used on a 10-year asset, assuming the Double-declining balance method of depreciation?
- 10%
 - 15%
 - 20%
 - 25%
22. The procedure to assign indirect expenses to departments at the end of an accounting period is called _____.
- authorization.
 - amortization.
 - assigning.
 - allocating.
23. A corporation purchases a new car with a sticker price of \$23,500. It negotiates a deal where it pays \$11,250 in cash and trades in the old car. The old car had an original cost of \$19,000 and accumulated depreciation of \$10,500. At what cost should the new car be assigned?
- \$11,250
 - \$19,000
 - \$19,750
 - \$23,500
24. A company signs a 5-year note with a bank to borrow \$15,000, to be repaid monthly over the next five years. How is the note classified on the Balance Sheet?
- Current Liability
 - Long-Term Liability
 - Both a Current Liability and a Long-Term Liability
 - Long-Term Liability and Other Expense
25. What is an advantage a sole proprietorship has over a corporation?
- Double taxation of its income
 - Easy to start
 - Limited liability
 - Unlimited liability

Account Identification (30 points)

Directions - For each account, identify the classification (Asset, Liability, Stockholders' Equity, Revenue, Cost of Merchandise, Expense) the Financial Statement(s) the account appears on (Income Statement, Statement of Stockholders' Equity, or Balance Sheet, use more than one where applicable), and the normal balance of the account. (1 point each)

Account	Classification (A, L, SE, R, CM, E)	Financial Statement (IS, SOSE, BS, None)	Normal Balance (Dr, Cr, None)
Prepaid Rent			
Building			
Dividends Payable – Common Stock			
Dividends - Common Stock			
Capital Stock			
Salary Expense			
Unearned Fees			
Treasury Stock			
Bonds Payable			
Purchases Discount			

Short Answer Problems. 44 Total points; 2 points each

- Carrier Inc shows a 2023 beginning Retained Earnings of \$145,718. During 2023 Carrier has Net Revenue of \$419,687, Cost of Goods Sold of \$264,320, and Operating Expenses of \$117,699. It incurs \$7,631 in income tax for the year. Carrier has 25,000 shares of stock outstanding, and declares dividends of \$0.40 per share during 2023, of which \$0.10 per share will not be paid until 2024.
 - What is the 2023 Gross Profit for Carrier Inc.? _____
 - What is the 2023 Net Income After Tax for Carrier Inc.? _____
 - What is the 2023 EPS? _____
 - What is the balance of Dividends on the 2023 Statement of Stockholders' Equity?

 - What is the balance of Retained Earnings on the 2023 Balance Sheet?

2. Rodriquez Inc. makes a group purchase of land, building, equipment, and furniture. At the time of the acquisition, the land has a market value of \$120,000, the building \$250,000, the equipment \$70,000, and the furniture \$60,000. The cash paid for the transaction is \$450,000. What is the allocated cost of each of the assets?
- Land _____
 - Building _____
 - Equipment _____
 - Furniture _____
3. Carson Deli Company signs a 120-day, \$50,000, 7.5% note on November 10, 2022.
- What is the interest expense for 2022? _____
 - What is the interest expense for 2023? _____
 - What is the maturity value? _____
 - What is the maturity date? _____
4. Rent Expense and Utilities Expense for Tucker Sporting Goods is allocated to each department based upon square footage. Square footage for the Fort Worth location shows the following: Shoe Department – 800 square feet; Clothing Department – 1,400 square feet; Equipment Department – 1,800 square feet. The total expense for 2022 Rent Expense equals \$12,000, and for Utilities Expense equals \$14,000. Allocate Rent Expense and Utilities Expense to each department. (3 points each)

	Rent Expense	Utilities Expense
Shoes		
Clothing		
Equipment		

5. Rink & Diaz, a partnership, is liquidating its business. Before the liquidation process the company showed the following balances. The partnership agreement calls for a 60/40 split of profits, with 60% to Rink and 40% to Diaz.

Cash - \$12,320
 Net Equipment - \$39,750
 Accounts Payable - \$1,450

Jaden Rink, Capital - \$27,420
 Roberto Diaz, Capital - \$23,200

Assuming debts are paid in full, and equipment is sold for \$37,500, give the journal entry to distribute the remaining cash to the partners.

Debit Jaden Rink, Capital _____ Credit Cash _____
Debit Roberto Diaz, Capital _____

Problem 1. Depreciation (42 points – Each answer worth 2 points)

Jackson and Jackson Inc. purchased a piece of equipment to be used in the production of its widgets on July 2, 2022, for \$4,700, with a salvage value of \$300. Its estimated life is four years and 2,000 widgets. Jackson and Jackson, Inc. produced 320 units in 2022, 815 units in 2023, and 150 units in 2024 before the equipment was traded. On March 31st, 2024, Jackson and Jackson, Inc. traded in the piece of equipment and paid \$2,800 for a newer model. Find the following information using the Straight-Line, Double-Declining Balance, and Production Units methods of depreciation.

	Straight-Line	DDB	Production Units
Depreciation for 2022			
Book Value on Dec 31, 2022			
Depreciation for 2023			
Book Value on Dec 31, 2023			
Depreciation for 2024			
Book Value on March 31, 2024			
Recorded cost for new model			

Problem 2. Stock Journal Entries (48 Total Points – 2 points per line, 1 for account name, 1 for correct amount)

Record the following journal entries for 2023 for Russell and Watkins Corp in the General Journal on the next page. **Do not skip any lines.** Use the following accounts:

Cash	Paid-in Capital in Excess – Preferred
Equipment	Treasury Stock
Dividends Payable	Paid-in Capital from Treasury Stock
Capital Stock – Common	Retained Earnings
Paid-in Capital in Excess – Common	Dividends – Common
Capital Stock – Preferred	Dividends – Preferred

The common stock issued has a par value of \$15.00. The preferred stock issued is 5% preferred with a par value of \$25.00.

- Jan 5 Received cash from Kevin Johnson for 100 shares of common stock at \$19.50 per share.
- Jan 10 Received cash from Tayveon Cisco for 50 shares of preferred stock at \$30.00 per share.
- Feb 18 Received equipment at an agreed upon value of \$2,500 from Shawna Kissinger in exchange for 150 shares of common stock.
- March 24 Paid cash to Maria Sanchez for 300 shares of her Russell and Watkins Corp common stock at \$17.50 per share.
- May 7 Received cash from Clayton Galloway for 100 shares of preferred stock at \$32.00 per share.
- June 15 Russell and Watkins Crop's Board of Directors declared an annual dividend of \$25,000.00. Preferred stock issued is \$200,000.00 of 5%, \$25.00 par-value preferred. Common stock issued is \$750,000.00 of \$15.00 par-value common stock. Date of payment is July 15.
- June 24 Received cash from Noc Quan for 150 shares of common stock at \$15.00.
- July 15 Paid cash for annual dividend declared June 15, \$25,000.00.
- Oct 9 Received cash from Kayla Tipton for 100 shares of treasury stock at \$20.00 per share. Stock was originally bought back from Maria Sanchez on March 24 at \$17.50 per share.

Date	Description	Debit	Credit
